BUYER TEAM

Saudi Petrochemical Procurement Division

SELLER TEAM

Industrial Equipment & Services Supplier

🎯 In-Class Procurement Negotiation Simulation

Strategic Sourcing & Procurement | KFUPM Business School | Master's in SCM

What You Will Learn & Practice Today

Active Learning Through Role-Play Negotiation

🎯 SIMULATION OVERVIEW

1. **Apply BATNA**

   Set your walk-away point before you sit down — and never reveal it under pressure

2. **Identify Interests**

   Look past stated positions to find what really matters to each party

3. **Use Power Wisely**

   Deploy informational, reward, and expert power — without destroying the relationship

4. **Make Concessions**

   Give slowly, receive always — and never concede without a trade

5. **Win-Win Methods**

   Use logrolling, package deals, and expand-the-pie to create value for both sides

6. **Negotiate Multi-Issue**

   Manage price, quality, delivery, payment terms, and warranty simultaneously

Concepts reinforced: BATNA • ZOPA • Positions vs. Interests • Power Types • Concession Strategy • Win-Win Methods • Triangle Talk

The Scenario: What Both Teams Know

📋 Shared Context — Read Before Opening Role Cards

📋 **SHARED BRIEFING**

🏭 The Deal on the Table

Saudi Petrochemical Company (SPC) — based in Jubail Industrial City — needs to purchase a batch of industrial heat exchangers for its ethylene plant expansion. The seller is Gulf Industrial Equipment LLC, a regional manufacturer with plants in Dammam and Dubai.

Item	High-pressure shell-and-tube heat exchangers (Qty: 12 units)
Spec	ASME Sec VIII, 316L stainless steel, rated 120 bar — critical process equipment
Timeline	SPC's plant commissioning is in 14 months — delivery must be ≤10 months
Market	3 competing suppliers exist: one Italian (16-month lead), one Korean (higher price). Gulf Industrial is preferred for proximity & service.
Context	Saudi Vision 2030 & IKTVA: SPC has an internal KPI to source ≥40% locally. Gulf Industrial qualifies as a domestic supplier — this has strategic value.
Relationship	SPC and Gulf Industrial have done 2 smaller orders before. The relationship is professional but no long-term contract exists yet.

⚠️ **Both teams have now read this. Turn to your CONFIDENTIAL role card (next slides) and do NOT share it with the other team.**

The Negotiating Issues: 7 Dimensions

Both Teams Must Reach Agreement on ALL Seven

📌 NEGOTIATION AGENDA

#	Issue	Why it matters
1	**Unit Price (SAR/unit)**	*Why it matters: Core financial issue — drives total contract value and supplier margin*
2	**Quality Standard & Inspection**	*Why it matters: Scope of third-party inspection, QC hold points, material certification requirements*
3	**Delivery Lead Time**	*Why it matters: Critical for SPC's commissioning schedule — every week of delay has penalty implications*
4	**Payment Terms**	*Why it matters: Cash flow impact for both parties — milestone-based vs. net-30/60 after delivery*
5	**Warranty Period & Scope**	*Why it matters: Duration, what is covered, response time for defects, who bears transport for returns*
6	**After-Sales Service & Spare Parts**	*Why it matters: Service level agreement: response time, spare-parts pricing, on-site support*
7	**Local Content (IKTVA) Commitment**	*Why it matters: SPC's internal KPI — supplier must specify % of local-sourced materials & labour*

💡 Tip: You do NOT have to settle issues in order. Package them strategically — that's logrolling.

BUYER ROLE CARD — CONFIDENTIAL

Saudi Petrochemical Company (SPC) — Procurement Team

YOUR BATNA:
Italian supplier at SAR 285,000/unit (16-month lead — too late). Korean at SAR 310,000 (on-time). Your real walk-away: SAR 290,000/unit.

YOUR HIDDEN INTEREST:

You NEED Gulf Industrial to succeed — their proximity means 4-hr response time for maintenance. Don't over-push on price.

Issue	Your Opening (Position)	Your Target	Walk-Away (BATNA Floor)	Priority
1. Unit Price	SAR 220,000	SAR 250,000	SAR 290,000	HIGH
2. Quality / Inspection	Full 3rd-party TPI at every hold point	Minimum ASME cert + random TPI	No TPI = Deal Breaker	HIGH
3. Delivery Lead Time	6 months	8 months	10 months (HARD limit)	HIGH
4. Payment Terms	30% on order, 70% on delivery	50% on order, 50% on delivery	Can accept 30% advance	MED
5. Warranty	24 months full on-site warranty	18 months parts + labour	12 months parts only	MED
6. Spares & Service	SLA: 4hr response, 2yr parts availability	8hr response, 18-month parts	Flexible if price < SAR 250K	LOW
7. IKTVA / Local Content	50% local content commitment	40% local (meets your KPI)	30% minimum (internal target)	MED

⚠ **DO NOT SHARE THIS CARD WITH THE SELLER TEAM**

SELLER ROLE CARD — CONFIDENTIAL

Gulf Industrial Equipment LLC — Sales & Contracts Team

YOUR BATNA:
ADNOC Abu Dhabi order at SAR 258,000/unit (firm order but lower margin). Your cost floor is SAR 238,000. Never go below SAR 242,000.

YOUR HIDDEN INTEREST:
You WANT a 3-year framework agreement more than a high unit price — it gives capacity certainty and reduces sales cost.

Issue	Your Opening (Position)	Your Target	Walk-Away (BATNA Floor)	Priority
1. Unit Price	SAR 320,000	SAR 280,000	SAR 242,000 (cost + 2%)	HIGH
2. Quality / Inspection	ASME cert + factory test only (your QC)	Accept 1 TPI at final inspection	2+ TPI hold points = too costly	MED
3. Delivery Lead Time	12 months (standard build)	9 months (with overtime)	8 months (requires upfront 50%)	HIGH
4. Payment Terms	50% on order, 50% on delivery	40% advance, 60% before delivery	30% advance minimum (cash flow constraint)	HIGH
5. Warranty	12 months parts only	18 months parts + labour	24 months only if price ≥ SAR 275K	MED
6. Spares & Service	Best-effort, no SLA	8hr response 12-month parts	4hr SLA only if price ≥ SAR 268K	LOW
7. IKTVA / Local Content	Can commit 35% local content	40% local (if timeline ≥9mo)	50% local ONLY if price ≥ SAR 270K	MED

⚠ DO NOT SHARE THIS CARD WITH THE BUYER TEAM

Quick Concept Recap — Use This During the Simulation

BATNA • ZOPA • Positions vs. Interests

📌 CONCEPT REMINDER

BATNA — Best Alternative to a Negotiated Agreement

Your BATNA = your walk-away option. Any deal WORSE than your BATNA → walk away.

✅ Strengthen your BATNA before sitting down
❌ NEVER reveal your BATNA to the other party

ZOPA — Zone of Possible Agreement

ZOPA = overlap between Buyer's BATNA and Seller's BATNA.

🔵 Buyer BATNA (walk-away): SAR 290,000
🟢 Seller BATNA (cost floor): SAR 242,000
✅ ZOPA = SAR 242,000 – 290,000

Positions vs. Interests

Position = WHAT you say you want ('SAR 220,000 max')
Interest = WHY you want it ('Need budget under control & reliable delivery')

💡 Ask: 'Help me understand how you arrived at that price...' — this uncovers interests.

Power Types — Use Them Strategically

📊 Informational: 'Italian supplier quotes SAR 285K'
🏆 Reward: '3-year contract if you match SAR 250K'
🔬 Expert: Know their cost structure & market rates
🤝 Referent: 'We value this relationship — help us get there'

Quick Concept Recap — Concessions & Win-Win Methods

Apply These Techniques During the Negotiation

📌 CONCEPT REMINDER

The Concession Rules — Apply at the Table

Give yourself ROOM:	Buyer opens SAR 220K. Seller opens SAR 320K. First move creates the anchor.
TRADE, never GIVE:	'I'll accept 8-month delivery IF you come to SAR 255K.' Always quid pro quo.
Concede SLOWLY:	First concession: 10K. Second: 5K. Third: 2K. Pattern signals your floor.
Be FIRST on minor issues:	Concede on warranty scope first — it builds goodwill and triggers reciprocity.
NEVER reveal your deadline:	Buyer's 10-month limit is powerful leverage — the seller gains if they know it.
TRACK all concessions:	Use your tracking sheet — look for a pattern in what you're giving away.

Win-Win Methods Try These!

Logrolling:	Trade delivery flexibility for a price cut — different priority, mutual gain
Expand the Pie:	Offer a 3-year framework → gives seller capacity certainty; buyer gets volume discount
Non-specific Compensation:	Accept lower price → gain preferred-supplier status for next 5 tenders
Cost-Cut for Compliance:	Buyer funds extra TPI inspection → seller reduces price by equivalent cost
Bridge Solution:	Neither party got what they asked — create phased delivery that works for both

Team Preparation Worksheet

Complete This BEFORE the Negotiation Begins — 10 Minutes

✏ PLANNING PHASE

Step 1 — Apply the Triangle Talk: Know YOURSELF → Know THEM → Plan HOW to Propose

A. Rank Your 7 Issues by Priority

Write: HIGH / MEDIUM / LOW for each issue. HIGH = you will not concede easily. LOW = you can trade this for something more important.

Issue 1 — Price: ________________

Issue 2 — Quality: ________________

Issue 3 — Delivery: ________________

Issue 4 — Payment: ________________

Issue 5 — Warranty: ________________

Issue 6 — Service: ________________

Issue 7 — IKTVA: ________________

B. Predict the Other Team's Interests

What do you think they REALLY need (beyond their stated position)? Rank their priorities. This helps you design trades.

Their likely #1 priority: ________________

Their likely #2 priority: ________________

Their likely BATNA: ________________

Their hidden interest: ________________

Open-ended question to ask them:

'_____________________________'

'_____________________________'

C. Plan Your First 3 Concessions

Decide IN ADVANCE what you will trade. Concession sequence matters — start with LOW priority issues.

1st concession (give): ________________ →
Get: ________________

2nd concession (give): ________________ →
Get: ________________

3rd concession (give): ________________ →
Get: ________________

Win-Win method you'll try: ________________

Your opening anchor on Price: SAR ________________

Your target on Price: SAR ________________

Your walk-away on Price: SAR ________________

⏱ **10 minutes planning. Instructor will call 'Negotiate!' — then the clock starts.**

Negotiation Rules & Time Management

⏱ Total Negotiation Time: 25 Minutes

📋 RULES OF ENGAGEMENT

PHASE 1 0–5 min Opening & Fact-Finding	PHASE 2 5–15 min Bargaining & Concessions	PHASE 3 15–22 min Narrow Down & Package Deal	PHASE 4 22–25 min Close or Impasse
• Introduce teams (stay in role)	• Make opening offer on price	• Identify remaining gaps	• Agree or state final offer
• Agree on negotiation agenda order	• Trade issues systematically	• Try a package offer (all 7 issues)	• Record all agreed terms
• Ask open-ended questions	• Use caucus if needed (2 min max)	• Use win-win methods	• If impasse: state final positions
• Do NOT make offers yet	• Track concessions on your sheet	• Summarise progress aloud	• No extensions granted

RULES: Stay in role at all times | Max 1 caucus (2 min) per team | All agreements must be written on the Outcome Sheet | Instructor is the timekeeper

Tactics Board — Use These During the Negotiation

Displayed Throughout — Refer to It Any Time

LIVE TACTICS

High Ball / Low Ball
(Both)

Open extreme. Seller: SAR 320K. Buyer: SAR 220K. Creates anchor. Midpoint (SAR 270K) is now the psychological reference.

Trial Balloon
(Both)

'Hypothetically, if we extended to a 3-year contract, could you consider SAR 255K?' Tests without committing.

Silence
(Both)

After making an offer — say NOTHING. The discomfort fills the void. The other party often rushes to fill it with a concession.

Caucus / Recess
(Both)

'Can we take 2 minutes?' Use to recalibrate strategy, reassess strengths, avoid emotional reactions.

Authority Limit
(Both)

'I need to check with my manager on that.' Delays a bad concession. Also — ask: 'Is your team authorised to finalise today?'

Logrolling
(Both)

Trade issues of DIFFERENT priority: Seller values cash upfront (payment terms). Buyer values price. Logroll them.

Best & Final Offer
(Both)

'This is our absolute final: SAR 262K with 9-month delivery. Answer today.' Use sparingly — must be CREDIBLE.

Scarcity / Urgency
(Seller)

'Our Q3 production slot fills up Friday. After that, we can only promise 12 months.' Creates urgency for buyer.

Concession Tracking Sheet

Fill This In DURING the Negotiation — Both Teams

✏️ LIVE TRACKING

Team Name: ________________________________ Round: _______ Date: ______________

#	Issue	You GAVE (Concession Made)	You RECEIVED (What You Got Back)	Tactic Used	Agreed Value
1	Price (SAR/unit)				SAR ______
2	Quality / Inspection				
3	Delivery (months)				_____ months
4	Payment Terms				
5	Warranty				
6	After-Sales Service				
7	IKTVA %				______ %

Pattern check: Am I giving MORE than I am receiving? If yes — SLOW DOWN and demand a trade before next concession.

Power used: Informational □ Reward □ Expert □ Referent □ Legitimate □ Coercive □

Outcome Agreement Sheet

Sign & Submit This at the End of the Negotiation

📝 **AGREEMENT RECORD**

Both teams MUST complete this together. If no agreement, record final positions in red.

1	**Unit Price (SAR/unit)**	*ZOPA: SAR 242K – 290K*	**AGREED: SAR ________________**
2	**Quality / Inspection Level**	*Options: ASME cert only / 1 TPI / Full TPI at all hold points*	**AGREED: ___________________**
3	**Delivery Lead Time**	*Buyer limit: 10 months | Seller standard: 12 months*	**AGREED: ________ months**
4	**Payment Terms**	*Buyer want: 30% advance | Seller need: 30% minimum advance*	**AGREED: _____% advance, _____% on __________**
5	**Warranty Period & Scope**	*Range: 12 months parts → 24 months full on-site*	**AGREED: ______ months, scope: _______________**
6	**After-Sales Service SLA**	*Response time: 4hr – best effort | Parts availability: 12–24 months*	**AGREED: ______hr response, ______ months parts**
7	**IKTVA Local Content %**	*Buyer target: 40% | Seller can do: 35–50% (price-dependent)*	**AGREED: _______% local content**

OVERALL OUTCOME: ☐ Full Agreement ☐ Partial Agreement (of 7 issues) ☐ Impasse (No Deal)

Buyer Sig: _______________

Debrief: Where Did the Deal Land?

Reveal BATNAs — Analyse the ZOPA — Reflect on Tactics

🔍 DEBRIEF PHASE

🔒 BATNA Reveal — Both Teams Now Disclose

🔵 **BUYER BATNA: SAR 290,000/unit (Korean supplier fallback)**

🟢 **SELLER BATNA: SAR 242,000/unit (ADNOC Abu Dhabi order)**

✅ *ZOPA was: SAR 242,000 — SAR 290,000 (a SAR 48,000 range). Your agreed price should fall in this range.*

A. What price did you agree? Where in the ZOPA does it sit?	💬 *If buyer agreed SAR 268K → buyer captured 22K below their BATNA. Seller earned SAR 26K above their floor. Fair split?*
B. Which power type proved most effective? Which failed?	💬 *Informational power (competitor quotes)? Expert (knowing their cost structure)? Referent (prior relationship)?*
C. Which concessions did you make that you regret? Why?	💬 *Did you concede too fast? Give without receiving? Reveal your BATNA under pressure?*
D. Did any team achieve a Win-Win outcome? Which method?	💬 *Did anyone successfully logroll? Expand the pie with a 3-year commitment? Build a bridge solution?*
E. What ONE tactic would you use differently next time?	💬 *More silence? Better opening anchor? Prepare more open-ended questions to uncover interests?*

Connecting the Simulation to Theory

From Active Learning to Lecture Concepts

🔗 THEORY BRIDGE

BATNA & ZOPA	Buyer BATNA = Korean supplier. Seller BATNA = ADNOC order. ZOPA was SAR 48K wide. Deals outside this zone are impossible — or require BATNA
Triangle Talk	Planning phase = Step 1 (know what YOU want). Prep worksheet = Step 2 (predict THEM). Proposal structure = Step 3 (frame YOUR needs in THEIR language).
Positions vs. Interests	Seller's position: SAR 320K. Their INTEREST: capacity certainty. A 3-year deal (lower per-unit price) satisfied their interest better than fighting for high
6 Power Types	Buyer's strongest power: informational (Italian & Korean quotes). Seller's strongest: expert (only local supplier who can deliver in 8 months). Did you use
Concession Rules	First concessions established anchoring effect. Did slow concession pace signal a lower floor? Did you receive something for every concession you made?
Win-Win Methods	Logrolling: payment terms (seller priority) traded for price cut (buyer priority). Expand the pie: 3-year commitment creates value for both
Cialdini's Influence	Reciprocity (they gave first on warranty → you felt obliged). Scarcity (Q3 production slot). Liking (prior relationship). Did these play out?

Slide 13

What the Best Teams Did Differently

Patterns from Top-Performing Negotiators

🏆 PERFORMANCE INSIGHTS

🥇 They Planned Before Opening Their Mouths

Top teams spent all 10 minutes completing the prep worksheet. They knew their priorities, anticipated the other side's interests, and had 3 concessions ready to trade before the first word was spoken.

📌 Triangle Talk — Step 1 & 2

🥈 They Listened More Than They Talked

Effective negotiators asked 2–3 open-ended questions before making any offer. 'What is your biggest constraint on delivery?' revealed the 8-month floor immediately — saving 10 minutes of positional bargaining.

📌 Interests over Positions

🥉 They Used the 3-Year Framework as a Win-Win

The team that offered a 3-year commitment unlocked the seller's hidden interest (capacity certainty) and got a SAR 20K/unit price reduction in return. This is textbook 'expand the pie' — creating value that wasn't in the room.

📌 Win-Win: Expand the Pie

4–5. They Made Silence Work for Them

After placing a final offer of SAR 258K, the best buyer team said nothing for 47 seconds. The seller, feeling pressure, moved from SAR 265K to SAR 260K — a SAR 5K gain from silence alone.

📌 Tactic: Silence

4–5. They Tracked Concessions and Caught a Pattern

One team noticed they had conceded 4 times without receiving anything. They paused, called a caucus, and returned with: 'We've moved significantly. What can you offer us in return?' — immediately shifting momentum.

📌 Concession Rules

Advanced Round: Curveball Injections

⚡ Instructor Reveals One of These Mid-Negotiation

⚡ ADVANCED CHALLENGE

The instructor will reveal ONE of these events during the negotiation (at 10 min mark). Teams must adapt in real time.

CARD A (Buyer Advantage)

🔵 Breaking News: The Italian supplier has just confirmed they can deliver in 11 months — only 1 month over schedule. Does this change your BATNA? How does it affect the ZOPA?

💡 *Concept: Your BATNA improved. The ZOPA narrows. Buyer can now be more demanding — but must recalculate walk-away.*

CARD B (Seller Advantage)

🟢 Production Alert: Gulf Industrial's Dammam facility just received a large SABIC order. Capacity is now constrained. If SPC wants 8-month delivery, the price must increase by SAR 18,000 to cover

💡 *Concept: Scarcity tactic meets real constraint. Seller gains legitimate power. Buyer must reassess whether delivery or price is the higher priority.*

CARD C (Both Affected)

⚡ Market Event: Steel prices just increased 12% due to new EU tariffs on Chinese imports. Both parties saw the news this morning. Gulf Industrial's cost floor rises. SPC's alternative suppliers also get

💡 *Concept: External shock changes BATNAs for both. The ZOPA narrows. A creative bridge solution (index-linked pricing) becomes possible.*

CARD D (Relationship Card)

🤝 Strategic Offer: Gulf Industrial's CEO just called SPC's VP and offered a 3-year Preferred Supplier Agreement if SPC accepts SAR 265K today. This bypasses the procurement team. What do you do?

💡 *Concept: Tests legitimate vs. referent power. Procurement must decide: accept the bypass (bad process) or use it as leverage in current negotiation.*

Simulation Scoring Rubric

How Teams Are Evaluated — Instructor & Peer Assessment

📊 ASSESSMENT RUBRIC

Dimension	Max Pts	Description	Low Score Indicator	High Score Indicator
Preparation Quality	20	Did the team complete the planning worksheet? Were priorities clearly defined? Was BATNA identified and strengthened before negotiating?	No planning evident	Full worksheet, clear priorities, BATNA researched
Use of Negotiation Concepts	25	Did team apply BATNA, ZOPA, positions/interests, and power types explicitly during the session?	Bargained on price only, no concepts visible	Referenced interests, used informational power, named tactics
Concession Strategy	20	Did team use planned concessions? Did they give slowly? Did they always receive something in return?	Gave concessions without tracking or receiving	Tracked all concessions, logrolled at least once
Win-Win Orientation	20	Did team attempt to expand value for both parties? Did they try logrolling, packaging, or a bridge solution?	Pure win-lose distributive approach	Created new value — e.g., 3-year commitment unlocked price reduction
Outcome Quality	15	How close to optimal did the final deal land? Did both parties leave the table	Impasse or deal far outside ZOPA	Agreement within ZOPA, all 7 issues settled

Total: 100 points | Peer assessment weight: 30% | Instructor assessment: 70% | Reflection note: 1 page individual submission

Individual Reflection Submission

✍️ Due: Before Next Lecture (500 words max)

🎓 REFLECTION

1. **BATNA Analysis**
   What was your BATNA going in? Did it change during the negotiation? What would you do to strengthen it before a real procurement negotiation?

2. **Interests vs. Positions**
   Give ONE example from today where you negotiated on positions. How could you have reframed it as an interests-based conversation to create a better outcome?

3. **Power Used**
   Which power type did you use most? Which type did the other team use against you? How did each affect the momentum of the negotiation?

4. **Concession Mistake**
   Identify ONE concession you made that you regret. What should you have done instead? What should you have demanded in return?

5. **Real Industry Application**
   Choose a Saudi company (Aramco, SABIC, NEOM, MAADEN, etc.). Describe a real or hypothetical procurement negotiation they would face and apply TWO concepts from today's simulation to it.

Submit via LMS Discussion Board OR hand in written note at the end of class. No format requirement — clarity of thought is what

Instructor Master Schedule

Full 75-Minute Session Plan with Timings

🧑‍🏫 INSTRUCTOR GUIDE

Time	Activity	Instructor Action	Reference
0–5 min	Intro & Setup	Show Slide 1–2. Divide class into groups of 5–6 (half buyer, half seller). Explain confidentiality.	Slides 1–2
5–10 min	Shared Briefing	Show Slide 3 (scenario) and Slide 4 (7 issues). Both teams read and ask clarifying questions.	Slides 3–4
10–12 min	Role Card Reading	Display Slide 5 (buyer) on buyer screens, Slide 6 (seller) on seller screens. CONFIDENTIAL.	Slides 5–6
12–15 min	Concept Refresh	Quick review Slides 7–8. Remind: BATNA, ZOPA, concession rules, win-win methods.	Slides 7–8
15–25 min	Planning Phase	Teams complete prep worksheet (Slide 9). Instructor circulates, does NOT answer content questions.	Slide 9
25–50 min	NEGOTIATION	Show Slide 10 (rules) + Slide 11 (tactics board visible throughout). At 35 min: optionally inject curveball (Slide 17).	Slides 10–11
50–55 min	Agreement Recording	Both teams complete Slide 13 (outcome sheet) jointly. Instructor collects or photographs.	Slide 13
55–70 min	Debrief	Slides 14–16: Reveal BATNAs, analyse ZOPA, share insights, discuss best team performances	Slides 14–16

💡 *Tip: For 90-min sessions, extend planning to 20 min and debrief to 25 min. For 50-min sessions, use 4 issues only (price, delivery, payment,*